ORACLE CORPORATION

NYSE: ORCL | Technology — Enterprise Software & Cloud Infrastructure (IaaS/SaaS)

RATING	12-MTH TARGET	CMP (03-Jun-26)	UPSIDE	HORIZON
ACCUMULATE	$248	$228.51	+8.5%	12–18 mths

Market Cap	**$657.2 bn**	52-Wk High / Low	**$345.72 / $134.57**
Enterprise Value	**$789.4 bn**	Price / Earnings (TTM)	**43.9x**
Shares Out / Float	**2.88 bn / 1.71 bn**	Forward P/E	**32.4x**
Revenue (TTM)	**$64.08 bn**	EV / EBITDA (TTM)	**28.8x**
EBITDA (TTM)	**$27.7 bn**	Price / Book	**21.0x**
Net Income (TTM)	**$16.19 bn**	Net Debt / EBITDA	**4.1x**
EPS (TTM, GAAP)	**$5.57**	ROCE / ROIC	**10.1% / 12.0%**
Net Debt	**$114–123 bn**	Dividend Yield	**0.88%**
Beta (5Y) / RSI	**1.65 / 65.5**	Insider / Instn Own	**40.5% / 43.6%**

INVESTMENT THESIS

History's largest software backlog ($553bn RPO) collides with bet-the-company AI capex, negative free cash flow and OpenAI concentration.

- **What's happening:** Oracle has pivoted from a cash-returning database incumbent into the most aggressive AI-infrastructure builder among software names — FY26 capex of ~$50bn (≈76% of revenue) funds GPU data centres for OpenAI's Stargate, Meta and sovereign-AI customers.
- **The bull math:** Q3 FY26 revenue grew 22% to $17.2bn, cloud +44% to $8.9bn, OCI infrastructure +84%, and RPO leapt 325% YoY to $553bn — roughly 8.6x trailing revenue of contracted future business.
- **The bear math:** Trailing free cash flow is **negative $24.7bn**, net debt has ballooned toward $114–123bn (4.1x EBITDA), OCI gross margins run near 16% vs ~70% for legacy software, and a single customer (OpenAI) — which reportedly missed internal targets in April-26 — anchors much of the backlog.
- **Why ACCUMULATE, not BUY:** The stock has already corrected ~34% from its $345.72 high, de-risking some euphoria, but at 32x forward earnings with binary Q4 FY26 results due **10-Jun-2026**, we prefer to accumulate weakness rather than chase the print.

Analyst: Senior Technology Analyst, Institutional Equities Desk | Report date: 03 June 2026 | Currency: USD ($). All financials sourced from stockanalysis.com (fetched 03-Jun-2026); qualitative context from Oracle Q3 FY2026 release (10-Mar-2026) and public reporting. Oracle fiscal year ends 31-May. Figures are GAAP unless marked non-GAAP. This document is for information only and is not investment advice.

2. INVESTMENT THESIS

- **Reason 1 — A backlog with no precedent in software:** RPO of $553bn (up 325% YoY, +$29bn QoQ) is ~8.6x trailing revenue and dwarfs any peer. Even at conservative conversion, it underwrites multiple years of 20%+ revenue growth; management guides OCI to grow ~77% to ~$18bn in FY26 and has publicly framed a path toward ~$144bn by FY2030.
- **Reason 2 — The database moat is being re-monetised through Multicloud:** Oracle Database@Azure / @Google / @AWS multicloud revenue grew 531% YoY in Q3 FY26. This lets Oracle sell its highest-margin, stickiest asset (the database) inside rival hyperscaler clouds — extending switching costs without owning the customer's primary cloud relationship.
- **Reason 3 — Operating leverage where it still has margin:** SaaS (Fusion ERP +17%, NetSuite +14%) is a $16bn+ run-rate, ~70%-gross-margin annuity growing low-teens; AI code generation is lowering Oracle's own cost to build and extend application suites, supporting application-segment profitability even as IaaS dilutes blended margin.
- **Near-term catalyst (0–12 months):** Q4 FY26 results on **10-Jun-2026** (guidance: revenue +19–20%, non-GAAP EPS $1.92–1.96) are a binary event — the market will scrutinise OCI bookings durability, capex pace, and any commentary on OpenAI/Stargate utilisation after the April-26 reports that OpenAI missed internal targets.
- **Biggest structural risk:** Oracle is funding a capital-intensity spike (capex ~76% of revenue) largely with debt while free cash flow is deeply negative. If AI-infrastructure demand or customer ramps slip even 12–18 months, the company carries ~$150bn+ of gross debt against assets whose utilisation — and therefore return on capital — is unproven at this scale.

3. BUSINESS OVERVIEW

- **What Oracle does:** A 48-year-old enterprise-software franchise built on the Oracle Database, now reorganised around three engines — (i) Cloud Infrastructure (OCI / IaaS), (ii) Cloud Applications (SaaS: Fusion ERP/HCM, NetSuite, Cerner healthcare), and (iii) legacy on-premise license & support plus hardware/services.
- **Revenue mix (Q3 FY26):** Total revenue $17.2bn — Cloud (IaaS+SaaS) $8.9bn (+44%), of which Infrastructure/OCI $4.9bn (+84%) and Applications/SaaS $4.0bn (+13%); the remainder is on-premise license, license support and hardware. AI infrastructure revenue rose 243% YoY; Multicloud Database +531% YoY.
- **Customers & visibility:** RPO of $553bn provides extraordinary contracted visibility, but it is increasingly concentrated — management has said most of the recent RPO surge stems from a handful of large-scale AI contracts (OpenAI/Stargate, Meta, sovereign-AI). Legacy database/ERP customers remain a broad, sticky, recurring base across enterprise and government.
- **Strategic developments (last 12 months):** The $300bn, multi-year OpenAI ‘Stargate’ compute commitment and a ~4.5 GW data-centre build-out; rapid Multicloud expansion with Azure/Google/AWS; capex guided to ~$50bn in FY26; and reported significant workforce restructuring in 2026 to redirect spend toward AI infrastructure (figure unverified — treat cautiously).
- **Leadership transition:** On 22-Sep-2025 Oracle promoted Clay Magouyrk (ex-OCI President, joined 2014 from AWS) and Mike Sicilia (ex-Industries President) to co-CEOs; Safra Catz moved to Executive Vice Chair. Larry Ellison remains Chairman & CTO and the strategic driving force.
- **Ownership:** Founder-controlled — insiders hold ~40.5% (Ellison ~40%), institutions ~43.6%. Concentrated founder control aligns long-term incentives but reduces external governance leverage.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size & growth:** Global cloud-infrastructure (IaaS) services spending exceeded ~$400bn in 2025 and is compounding ~20% YoY (industry estimates); AI-specific data-centre capex across hyperscalers is projected to run into the trillions cumulatively this decade. Oracle is the #4 hyperscaler chasing share behind AWS, Azure and Google Cloud.
- **Policy / demand tailwinds:** Sovereign-AI initiatives, enterprise GenAI adoption, and data-residency rules favour Oracle's distributed, multicloud and dedicated-region model. Headwinds: power/grid constraints, GPU

supply timing, and rising scrutiny of 'circular' AI financing among compute providers and model labs.

• **Moat — Database IP & switching costs: STRONG.** Oracle Database is mission-critical and deeply embedded; Autonomous DB and Multicloud (+531% YoY) deepen lock-in.

• **Moat — Enterprise / government distribution: STRONG.** Entrenched in regulated verticals (finance, defence, healthcare via Cerner); long procurement cycles favour incumbents.

• **Moat — IaaS pricing power: WEAK–MODERATE.** Raw GPU compute is a price-competitive, capital-heavy business; OCI's ~16% gross margin shows limited near-term pricing power versus the ~70% legacy software base.

• **Moat — Scale in AI cloud: MODERATE.** Building capacity fast and differentiating on RDMA networking and price/performance, but still sub-scale versus the big-three hyperscalers in total footprint.

• **Value-chain position:** Oracle spans the stack — owns the database IP (upstream), operates the cloud infrastructure (midstream), and sells the application suites (downstream/solutions) — a vertical integration few rivals match.

Company (Ticker)	CMP	Mkt Cap	Rev (TTM)	ROCE
Oracle (ORCL)	$228.51	$657 bn	$64.1 bn	10.1%
Microsoft (MSFT)	$424.70	$3.15 tn	$318.3 bn	26.7%
SAP SE (SAP)	$180.92	$221 bn	$43.1 bn	20.6%
Salesforce (CRM)	$192.05	$157 bn	$42.8 bn	11.8%
IBM (IBM)	$305.02	$287 bn	$68.9 bn	11.2%

Source: stockanalysis.com, fetched 03-Jun-2026. TTM figures.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Leadership:** Chairman/CTO Larry Ellison (founder, ~40% owner, ~81) remains the strategic architect; co-CEOs Clay Magouyrk (built OCI) and Mike Sicilia (applied AI/industries) took over 22-Sep-2025; Safra Catz — architect of two decades of M&A; and financial discipline — is Executive Vice Chair. Deep bench, but the leadership change lands during the largest capital bet in company history (execution risk).

• **Capital-allocation regime change:** Oracle has flipped from cash-return to all-in reinvestment. Buybacks collapsed from $21.6bn (FY21) and $17.3bn (FY22) to just $0.36bn (TTM); capex exploded from $2.1bn (FY21) to $48.3bn (TTM). This is, in effect, a bet-the-balance-sheet pivot into AI infrastructure.

• **Dividend policy:** Steady and growing — quarterly cash dividend of $0.50 (annualised ~$2.00); DPS rose from $1.04 (FY21) to $2.00 (TTM). Payout ~36% of earnings; yield ~0.88%. Dividend looks safe near-term but competes with capex for a now-negative free-cash-flow pool.

• **Returns trend — the key tell:** Despite rising margins, ROCE has fallen from ~14.4% (FY25) to ~10.1% (TTM) and ROIC from ~11–12% toward ~8% on a fiscal basis, because the capital base is ballooning faster than operating profit. Returns on capital are compressing as Oracle scales the capital-heavy AI cloud — the core debate for the stock.

• **Leverage:** Gross debt ~$150–162bn, net debt ~$114–123bn (4.1x EBITDA), debt/equity ~4.2x, interest coverage ~5.0x and falling as the company funds capex with new long-term debt ($36bn net issued TTM). Balance-sheet risk is now a first-order part of the thesis.

• **Governance watch-points:** Founder control (~40%) plus a history of related-party dynamics (e.g., the 2016 NetSuite acquisition of an Ellison-affiliated company) and Ellison's external AI/Stargate ties warrant monitoring of related-party terms. Auditor Ernst & Young; no qualified opinion noted. Stock-based compensation ~$4.9bn TTM (~7.6% of revenue) is a real, recurring dilution that non-GAAP metrics exclude.

6. FINANCIAL DEEP-DIVE

Income Statement ($ mn unless noted) — FY ends 31-May

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	49,954	52,961	57,399	67,200	84,000
EBITDA	19,201	21,492	23,852	28,900	35,300
EBITDA Margin %	38.4%	40.6%	41.6%	43.0%	42.0%

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Operating Income (EBIT)	13,093	15,353	17,678	20,500	23,500
Net Income (clean)	8,503	10,467	12,443	13,800	15,200
Diluted EPS ($, clean)	3.07	3.71	4.34	4.85	5.30

A = actual (stockanalysis.com, GAAP). E = estimate, grounded in Q1–Q3 FY26 actuals + Q4 guidance (rev +19–20%). FY26E/FY27E net income/EPS are NORMALISED to exclude one-offs: GAAP-reported FY26 EPS will be higher (~$5.60) because Q2 FY26 included a ~$2.5bn non-operating gain. Note GAAP EPS growth is increasingly suppressed by rising depreciation and interest from the AI capex build; non-GAAP EPS grows faster.

Balance Sheet ($ mn)

Metric	FY23A	FY24A	FY25A	Q3 FY26
Cash & ST Investments	10,187	10,661	11,203	39,132
Net Property, Plant & Equip.	17,069	21,536	43,522	83,617
Goodwill & Intangibles	72,098	69,120	66,794	65,915
Total Assets	134,384	140,976	168,361	245,240
Total Debt	90,481	93,124	104,104	153,117
Deferred (Unearned) Revenue	8,970	9,313	9,387	9,881
Shareholders' Equity	1,556	9,239	20,969	39,051
Net Debt	80,294	82,463	92,901	113,985

Cash Flow ($ mn)

Metric	FY23A	FY24A	FY25A	TTM
Operating Cash Flow	17,165	18,673	20,821	23,514
Capital Expenditure	(8,695)	(6,866)	(21,215)	(48,250)
Free Cash Flow	8,470	11,807	(394)	(24,736)
Dividends Paid	(3,668)	(4,391)	(4,743)	(5,688)
Share Buybacks	(2,503)	(3,242)	(1,500)	(356)
Net LT Debt Issued	12,444	(3,500)	3,707	36,281

Returns & Leverage

Metric	FY23A	FY24A	FY25A	TTM
ROCE %	13.0%	13.9%	14.4%	10.1%
ROIC %	10.7%	9.8%	9.9%	8.3%
ROA %	10.0%	9.9%	10.0%	7.7%
Net Margin %	17.0%	19.8%	21.7%	25.3%
Net Debt / EBITDA	4.18x	3.84x	3.90x	4.11x

Financial commentary

- **Revenue drivers:** Growth has inflected from high-single-digit to 22% (Q3 FY26) as OCI/IaaS (+84%) and Multicloud Database (+531%) overtake the maturing license business; SaaS (+13%) and support provide a stable annuity base.
- **Margin direction:** Gross margin has compressed steadily from ~80% (FY21) to ~67% (TTM) as low-margin IaaS depreciation flows through cost of revenue. EBITDA margin still rose to ~43% on scale, but the mix shift caps further blended-margin expansion until OCI margins inflect.
- **Working capital:** Oracle runs a favourable model — deferred (unearned) revenue ~$9.9bn and large AI-contract prepayments partly self-fund GPU purchases; management says many AI deals are prepaid or customer-supplied, reducing incremental funding need.
- **Debt & FCF — the red flags:** Net debt has climbed to ~$114bn (4.1x EBITDA); free cash flow swung from +$11.8bn (FY24) to **-$24.7bn (TTM)** as capex ($48.3bn) ran at ~2x operating cash flow. Oracle is funding the gap with debt — sustainable only if contracted revenue converts on schedule.
- **Returns compression:** ROCE/ROIC/ROA are all declining despite higher margins — capital is being deployed faster than profit is being earned on it. Re-acceleration of returns is the single most important proof point investors must watch.

7. EARNINGS QUALITY CHECKLIST

Signal	Rating	Comment
Revenue recognition / backlog	AMBER	$553bn RPO is contracted but multi-year and delivery-dependent; conversion hinges on data-centre build-out and customer ramp.
Contingent / capital commitments	RED	~$115bn+ of capital commitments through 2029 plus large GPU/power purchase obligations — huge forward cash claims.
Free cash flow quality	RED	FCF -$24.7bn TTM; OCF +$23.5bn fully consumed by $48.3bn capex. Cash earnings well below reported profit.
Leverage / interest cover	RED	Net debt ~$114bn, 4.1x EBITDA; interest coverage ~5.0x and falling; capex funded by new debt.
Other income as % of PBT	AMBER	Q2 FY26 PAT inflated by a ~$2.5bn non-operating gain; reported EPS optically flattered — watch for recurrence.
Tax-rate consistency	AMBER	Effective tax rate swings widely (FY21 -5.7%, FY23 6.8%, TTM 11.6%) on discrete items.
Stock-based comp dilution	AMBER	SBC ~$4.9bn TTM (~7.6% of revenue); excluded from non-GAAP EPS but real and recurring.
Auditor / opinion	GREEN	Ernst & Young; long tenure; no qualified opinion noted.
Recurring revenue base	GREEN	License support + SaaS provide a sticky, high-margin annuity underpinning the model.

- **Read:** The income statement is clean operationally, but the **cash-flow and balance-sheet** signals are the concern — three RED flags (FCF, leverage, commitments) define the risk profile.
- **Watch the one-timers:** Q2 FY26's ~$2.5bn non-operating gain flatters trailing GAAP EPS — normalise it before paying a P/E multiple.
- **Watch capital intensity:** The gap between booked RPO and the cash required to deliver it is the crux; monitor capex/OCF and net-debt trajectory each quarter.

8. VALUATION

Peer comparison (stockanalysis.com, fetched 03-Jun-2026; TTM)

Company	Mkt Cap	P/E	Fwd P/E	EV/EBITDA	P/S	ROIC
Oracle (ORCL)	$657 bn	43.9x	32.4x	28.8x	10.4x	12.0%
Microsoft (MSFT)	$3.15 tn	26.3x	23.9x	18.0x	10.3x	27.2%
SAP SE (SAP)	$221 bn	26.3x	22.1x	16.4x	5.1x	17.8%
Salesforce (CRM)	$157 bn	23.3x	14.4x	14.8x	3.7x	11.1%
IBM (IBM)	$287 bn	29.2x	26.2x	20.9x	4.2x	14.9%

ORCL trades at a clear premium on every earnings/EBITDA metric while earning the lowest ROIC in the group — the market is paying up for AI-cloud growth, not current returns.

Scenario analysis (12-month)

Scenario	Key assumptions	FY27E EPS	Multiple	Target	vs CMP
Bull	RPO converts on schedule; OCI margins inflect toward 30%; AI demand durable; OpenAI/Stargate deliver.	$6.40	47x	**$300**	+31%
Base	Solid revenue execution; margins stay compressed near-term; concentration discount persists.	$5.90	42x	**$248**	+8.5%
Bear	AI demand/OpenAI ramp slips; utilisation gaps; FCF stays deeply negative; multiple de-rates.	$5.20	30x	**$156**	-32%

Valuation methodology

- **DCF (low confidence here):** WACC ~11.2% (per stockanalysis.com), terminal growth 4%. Near-term FCF is negative (-$24.7bn TTM) and only inflects positive around FY28 as capex moderates and contracted RPO converts; the model implies ~$230–250/share but is extremely sensitive — a 1pt WACC change or a 1-year delay in the FCF inflection swings value 20%+. We weight it lightly.
- **Forward-earnings multiple:** ~42x base-case FY27E EPS of ~$5.90 (≈30x the corresponding non-GAAP figure) → ~$248/share, in line with the Street consensus target of ~$246.85.
- **Blended 12-month target: $248** (average of the multiple and DCF approaches), i.e. **+8.5%** from CMP of $228.51. Investment horizon 12–18 months.
- **Why the multiple is justified but not heroic:** Oracle deserves a growth premium for an 8.6x-revenue backlog, but negative FCF, 4.1x net leverage, sub-peer ROIC and customer concentration argue against

re-rating back toward the 40x+ peak multiple until cash returns prove out.

9. KEY RISKS

• **Customer concentration (OpenAI/Stargate)** — A large share of new RPO and bookings depends on a few hyperscale-AI customers; OpenAI reportedly missed internal targets (Apr-26). Probability: M. Impact: H. Monitor via: RPO composition, OpenAI funding/utilisation news, bookings disclosure.

• **Free-cash-flow burn & leverage** — FCF -$24.7bn TTM and net debt ~$114bn (4.1x EBITDA) leave little margin for error if demand slips. Probability: M. Impact: H. Monitor via: quarterly capex vs OCF, net-debt trajectory, interest coverage.

• **Margin inflection delay** — OCI gross margin ~16% vs ~70% legacy; if the path to 30%+ AI margins slips beyond ~FY30, returns won't justify the capex. Probability: M. Impact: H. Monitor via: cloud gross margin, OCI segment profitability commentary.

• **Utilisation / over-build risk** — ~$50bn FY26 capex and ~$115bn of commitments assume high data-centre utilisation; an AI-capex digestion cycle could strand capacity. Probability: M. Impact: H. Monitor via: industry capex signals, depreciation vs revenue, occupancy commentary.

• **Valuation / multiple de-rating** — At 32x forward earnings with a 1.65 beta, ORCL is sensitive to rate moves and AI-sentiment shifts. Probability: M. Impact: M. Monitor via: forward P/E vs growth, peer AI-capex headlines (e.g., Alphabet's $80bn raise).

• **Execution under new leadership** — A first-time co-CEO structure is steering the biggest capital programme in Oracle's history. Probability: L–M. Impact: M. Monitor via: guidance credibility, delivery cadence (Ellison's ‘one-week data-hall handover’ claim).

• **Governance / founder control** — ~40% founder ownership and related-party history reduce external checks. Probability: L. Impact: M. Monitor via: RPT disclosures, board independence, Ellison's external AI ventures.

10. RECOMMENDATION

• **Rating: ACCUMULATE** — conviction **Medium**. A genuinely two-sided story: historic backlog and growth versus unprecedented capital intensity, negative FCF and customer concentration.

• **12-month price target: $248** (+8.5% from CMP $228.51).

• **Suggested entry zone: $195–225** — accumulate on weakness; the stock has already de-rated ~34% from its $345.72 high.

• **Investment horizon: 12–18 months.**

• **Thesis-invalidation triggers (any one materially weakens the call):**

1. RPO declines QoQ, or Oracle discloses a material reduction/cancellation in a large AI contract (e.g., OpenAI/Stargate).

2. Net debt exceeds ~5x EBITDA or FCF burn worsens beyond ~$30bn annualised with no credible path to inflection.

3. Cloud/OCI gross margin fails to improve over the next 3–4 quarters, signalling the AI-margin inflection is slipping.

• **Ideal investor profile:** Growth-oriented investors with a multi-year horizon and tolerance for high beta (1.65) and balance-sheet risk, who want levered exposure to AI-infrastructure build-out. **Not for:** income/low-volatility investors, or anyone needing positive free cash flow and conservative leverage.

APPENDIX — Latest Concall Brief: Q3 FY2026 (quarter ended 28-Feb-2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	STRONG	Revenue $17.2bn (+22%) and non-GAAP EPS $1.79 (+21%) both beat; cloud at high end of guidance.
Management tone	BULLISH	First 20%+ organic revenue & EPS quarter in 15+ years; confident on AI-inferencing opportunity.
Guidance delta	RAISED	Cloud revenue guided to +44–48% cc; Q4 revenue +19–20%, non-GAAP EPS $1.92–1.96.

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

Note: the operational quarter was strong and guidance was raised — the grade reflects results, not the stock's subsequent weakness, which is a valuation/capex-digestion issue, not a result-quality one.

TO MY BOSS

The Q3 print is operationally clean and genuinely strong: revenue +22% to $17.2bn, non-GAAP EPS +21% to $1.79, cloud +44% to $8.9bn, and OCI infrastructure +84% — the first quarter in over 15 years with both organic revenue and EPS up 20%+. Reported GAAP EPS of $1.27 is the clean number this quarter; be aware the prior quarter (Q2) carried a ~$2.5bn non-operating gain that flatters trailing GAAP figures, so normalise before paying a multiple. The headline is the backlog: RPO exploded 325% to $553bn — roughly 8.6x revenue — driven by large AI contracts (OpenAI/Stargate, Meta, sovereign AI), and Multicloud Database grew an astonishing 531%. The structural multi-bagger driver is real — Oracle has turned its database moat plus a credible #4 hyperscaler position into the largest contracted AI-compute pipeline in software. The single biggest watch-point is cash: free cash flow is -$24.7bn trailing as capex runs ~$48bn (≈76% of revenue), net debt is ~$114bn (4.1x EBITDA), and OCI gross margins are ~16% versus ~70% legacy — so returns on capital are actually falling even as margins rise. Near-term catalyst is binary: Q4 FY26 prints 10-Jun-2026, and the market will fixate on OpenAI utilisation after the April reports it missed internal targets. Action: **ACCUMULATE into weakness around $195–225, target $248**; this is a high-beta, balance-sheet-levered AI-infrastructure bet — own it sized for volatility, not as a sleep-at-night compounder, and trim if RPO rolls over or FCF burn worsens without a margin inflection.

1 — Financial Performance Snapshot

- Revenue: $17,190 mn | YoY +21.7% | QoQ +7.1% | **Beat** (high end of cc guidance).
- EBITDA: $8,030 mn | YoY +35.9% | QoQ +17.4% | **Beat**.
- EBITDA Margin: 46.7% | YoY +489 bps | **Beat**.
- PAT (GAAP): $3,699 mn | YoY +26.0% | QoQ -39.7% | optically down QoQ only because Q2 carried a one-time gain.
- EPS: GAAP $1.27 (+24.5% YoY); **non-GAAP $1.79 (+21%)** | **Beat / above guidance**.
- NOTE: Q2 FY26 PAT included a ~$2.5bn non-operating gain; clean QoQ trend is positive — use non-GAAP EPS for sequential comparison.

2 — Segment / Geography Breakdown

- Cloud Revenue (IaaS+SaaS): $8.9bn | YoY +44% USD / +41% cc | high end of guidance.
- Infrastructure (IaaS / OCI): $4.9bn | YoY +84% USD — the growth engine.
- Multicloud Database (Azure/Google/AWS): YoY +531% — fastest-growing line, deepens database lock-in.
- AI infrastructure revenue: YoY +243% — narrow but explosive.
- Cloud Application (SaaS): $4.0bn | YoY +13% — Fusion ERP $1.1bn (+17%), NetSuite ERP $1.1bn (+14%).
- Remaining base: on-premise license, license support and hardware — mature, cash-generative, low-growth.

3 — Management Commentary Themes

• AI inferencing: Ellison — "It's AI inferencing that will change everything… inferencing is bigger [than training]." Our read: positioning OCI for the larger, recurring inference workload. Tag: GUIDANCE. Tone: Transparent.

• Delivery speed: Ellison — "We just turned over a giant data hall… the acceptance time could have been a couple of months. It was one week." Our read: signalling execution velocity to defend the build-out thesis. Tag: EST. Tone: Confident (unverifiable).

• Funding of AI contracts: mgmt says most RPO growth needs no incremental funds — GPUs are prepaid by customers or customer-supplied. Our read: key de-risking claim; verify against capex/debt each quarter. Tag: GUIDANCE. Tone: Hedged-positive.

• SaaS + AI: "AI code generation is making SaaS application suites more competitive and more profitable." Our read: margin-supportive on the application side. Tag: EST. Tone: Transparent.

• Backlog confidence: framed $553bn RPO as durable, multi-year demand. Our read: bullish, but concentration in a few customers is the soft spot. Tag: GUIDANCE. Tone: Bullish.

4 — Operating & Business Metrics

• RPO: Q3 FY26 = $553bn | Q2 FY26 = $524bn (approx) | Q1 FY26 = $455bn | Trend: improving (sharply).

• Cloud revenue: Q3 = $8.9bn | prior-year Q3 ≈ $6.2bn | Trend: improving (+44%).

• OCI/IaaS: Q3 = $4.9bn | YoY +84% | Trend: improving rapidly.

• SaaS run-rate: cloud applications ~$16.1bn annualised | YoY +11–13% | Trend: stable-to-improving.

• Capex: ~$48bn TTM run-rate (FY26 guided ~$50bn) | Trend: rising steeply — the offset to backlog strength.

5 — Margin Drivers

• OCI/IaaS depreciation in COGS: -large bps to gross margin | Recurring: Yes | Gross margin ~67% vs ~80% (FY21) as infra scales.

• Scale leverage on opex: +bps to EBITDA margin (to ~43%) | Recurring: Yes | Operating discipline offsetting gross-margin mix.

• AI-code-generation efficiency in SaaS: +bps | Recurring: Yes (early) | Mgmt claims it lifts application profitability.

• Q2 one-time non-operating gain (~$2.5bn): inflates trailing GAAP profit | Recurring: **No** | Exclude from forward estimates.

6 — Guidance & Forward Signals

• Q4 FY26 revenue [GUIDANCE]: New = +19–20% YoY | Delta = raised/strong | Credibility: Medium-High.

• Q4 FY26 non-GAAP EPS [GUIDANCE]: New = $1.92–1.96 | Delta = up ~15–17% | Credibility: Medium-High.

• Cloud revenue [GUIDANCE]: New = +44–48% cc | Delta = raised | Credibility: Medium (depends on AI ramp).

• OCI [GUIDANCE]: framed ~+77% to ~$18bn in FY26; long-term ~$144bn by FY30 | Credibility: Low-Medium (long-dated, customer-dependent).

• Capex [GUIDANCE]: ~$50bn FY26; commitments ~$115bn through 2029 | Credibility: High (the spend is contracted/underway).

7 — Capital Allocation

• Capex: ~$48bn TTM | vs prior year: ~+127% | Comment: the dominant use of cash — AI data-centre build-out.

• Dividends: $5.69bn TTM | vs prior year: +20% | Comment: quarterly $0.50 maintained; ~36% payout.

• Buybacks: $0.36bn TTM | vs prior year: -76% | Comment: all but halted to fund capex (was $21.6bn in FY21).

• Net debt movement: +$21bn YoY to ~$114bn | Comment: capex funded with ~$36bn net new long-term debt.

• Working capital: deferred revenue ~$9.9bn + AI prepayments | Comment: partly self-funds GPU purchases.

8 — Q&A; Heat Map

• Analyst (cloud demand): Q: durability of AI bookings? → A: framed RPO as multi-year, customer-prepaid where large | Tone: Transparent.

- Analyst (margins): Q: when do OCI margins inflect? → A: scale + AI efficiency over time, no hard date | Tone: Hedged.
- Analyst (funding/capex): Q: how is the build funded? → A: prepayments/customer-supplied GPUs limit incremental need | Tone: Hedged-positive.
- Analyst (customer concentration): Q: reliance on a few AI customers? → A: de-emphasised; pointed to breadth of pipeline | Tone: Evasive (soft spot).
- Dodged / watch-list for next quarter: explicit OCI segment margin, OpenAI-specific exposure/utilisation, and free-cash-flow inflection timing.

9 — Risks Flagged

- Customer concentration (OpenAI/AI): backlog leans on few names | Flagged by: analysts | Probability: M | Impact: H | Timeline: near-medium.
- Free-cash-flow burn / leverage: capex >> OCF; net debt rising | Flagged by: analysts | Probability: M | Impact: H | Timeline: near-term.
- Margin inflection timing: OCI ~16% gross margin | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium-long.
- Utilisation / over-build: capacity vs demand | Flagged by: analysts | Probability: M | Impact: H | Timeline: medium.
- Power / GPU supply timing: delivery dependencies | Flagged by: mgmt/analysts | Probability: M | Impact: M | Timeline: near-medium.

10 — Analyst Verdict

- Revenue visibility: **Intact** — $553bn RPO gives unmatched contracted coverage, albeit concentrated.
- Margin trajectory: **Weakened** — mix shift to ~16%-margin OCI compresses gross margin; inflection unproven.
- Capital-allocation quality: **Weakened** — bet-the-balance-sheet capex with negative FCF; returns on capital falling.
- Competitive moat: **Intact** — database + Multicloud lock-in strengthening (+531%); IaaS pricing power weak.
- Management credibility: **Intact** — strong delivery record, but new co-CEO structure on the biggest-ever capex bet.
- Valuation comfort: **Weakened** — 32x forward / 28.8x EV-EBITDA, premium to peers on the lowest ROIC.
- Conviction call: **Unchanged** — ACCUMULATE on weakness; binary Q4 print (10-Jun-26) ahead.
- Valuation snapshot: P/E 43.9x (5Y avg ~30x) | EV/EBITDA 28.8x (5Y avg ~18x) | ROCE 10.1% (5Y avg ~13%).